



[Home](#) > [Oversight](#) > [Standards](#) > [Auditing Standards](#)

AS 3310: Special Reports on Regulated Companies

Amendments: [Amending releases and related SEC approval orders](#)

[.01] [Paragraph deleted.]

Regulated Companies

.02 The basic postulates and broad principles of accounting comprehended in the term "generally accepted accounting principles" which pertain to business enterprises in general apply also to companies whose accounting practices are prescribed by governmental regulatory authorities or commissions. (For example, public utilities and insurance companies.) Accordingly, the requirement in paragraph .08e of AS 3101, *The Auditor's Report on an Audit of Financial Statements When the Auditor Expresses an Unqualified Opinion*, is equally applicable to opinions on financial statements of such regulated companies presented for purposes other than filings with their respective supervisory agencies; and material variances from generally accepted accounting principles, and their effects, should be dealt with in the independent auditor's report in the same manner followed for companies which are not regulated.¹ Ordinarily, this will require either a qualified or an adverse opinion on such statements. An adverse opinion may be accompanied by an opinion on supplementary data which are presented in conformity with generally accepted accounting principles.

.03 It should be recognized, however, that appropriate differences exist with respect to the application of generally accepted accounting principles as between regulated and nonregulated businesses because of the effect in regulated businesses of the rate-making process, a phenomenon not present in

nonregulated businesses (FASB Statement No. 71, *Accounting for the Effects of Certain Types of Regulations* [AC section Re6]). Such differences usually concern mainly the time at which various items enter into the determination of net income in accordance with the principle of matching costs and revenues. It should also be recognized that accounting requirements not directly related to the rate-making process commonly are imposed on regulated businesses and that the imposition of such accounting requirements does not necessarily mean that they conform with generally accepted accounting principles.

.04 When financial statements of a regulated entity are prepared in accordance with a basis of accounting prescribed by one or more regulatory agencies or the financial reporting provisions of another agency, the independent auditor may also be requested to report on their fair presentation in conformity with such prescribed basis of accounting in presentations for distribution in other than filings with the entity's regulatory agency. In those circumstances, the auditor should modify the auditor's report as appropriate (see paragraphs .18–.43 of AS 3105, *Departures from Unqualified Opinions and Other Reporting Circumstances*) because of the departures from generally accepted accounting principles, and then, in an additional paragraph to the report, express an opinion on whether the financial statements are presented in conformity with the prescribed basis of accounting.

Footnote (AS 3310 - Special Reports on Regulated Companies):

¹ When reporting on financial statements of a regulated entity that are prepared in accordance with the requirements of financial reporting provisions of a government regulatory agency to whose jurisdiction the entity is subject, the auditor may report on the financial statements as being prepared in accordance with a comprehensive basis of accounting other than generally accepted accounting principles (see paragraphs .02 and .10 of AS 3305, *Special Reports*). Reports of this nature, however, should be issued only if the financial statements are intended solely for filing with one or more regulatory agencies to whose jurisdiction the entity is subject.

General Auditing Standards	+
Audit Procedures	+
Auditor Reporting	–
3100 Reporting on Audits of Financial Statements	+
3300 Other Reporting Topics	–
<u>AS 3305: Special Reports</u>	
<u>AS 3310: Special Reports on Regulated Companies</u>	
<u>AS 3315: Reporting on Condensed Financial Statements and Selected Financial Data</u>	
<u>AS 3320: Association with Financial Statements</u>	
Matters Relating to Filings Under Federal Securities Laws	+
Other Matters Associated with Audits	+



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